

## Speakers



**Manish Sharma, President & CEO, Panasonic India, and Chair, FICCI Electronics**



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us steer towards green growth in the industry, while exponentially increasing our manufacturing capacity. Once we fully start battery manufacturing operations in the country, it will lead to the reduction of cost on purchase of electric vehicles owing to increased accessibility,” Sohinder Gill, Director General, Society of Manufacturers of Electric Vehicles (SMEV) said earlier.

### Medical devices

The coronavirus pandemic has taught not just India but the rest of the world too, to be self-dependent in terms of any medical emergencies. Medical devices like oxygen concentrators and ventilators were in great shortage during peak of the pandemic. The domestic medical devices market in India is heavily dependent on imports, which contribute to more than 85 percent of the market.

Announced by the Ministry of Chemicals and Fertilizers, the medical devices PLI scheme encompasses a financial outlay of 34.2 billion rupees for the period 2020-21 to 2027-28. The financial incentives will be given to selected companies at the rate of five percent of incremental sales (over base year) of goods manufactured in

India and covered under target segments, for a period of five years, that is from FY 2021-22 to FY 2025-26.

The target segments include cancer-care/radiotherapy medical devices, radiology and imaging medical devices (both ionising & non-ionising radiation products) and nuclear imaging devices, anaesthetics and cardio-respiratory medical devices including catheters of cardio-respiratory category and renal-care medical devices, and all implants including implantable electronic devices like cochlear implants and pacemakers.

Siemens, Allengers Medical Systems Limited, Allengers OEM Private Limited, Wipro GE Healthcare Private Limited, Nipro India Corporation Private Limited, Wipro GE Healthcare Private Limited, Sahajanand Medical Technologies Private Limited, Innvolution Healthcare Private Limited, Integris Health Private Limited have already been approved under the PLI. These companies have committed a total investment of nearly 7.3 billion rupees under the medical PLI scheme.

### The big picture

The total outlay of these schemes, when added together, comes out be

around 927.3 billion rupees, and the figure does not include other incentives or schemes such as Modified Electronics Manufacturing Clusters (EMC 2.0) scheme, Scheme for Promotion of manufacturing of Electronics Components and Semiconductors (SPECS), electronic manufacturing clusters, Modified Special Incentive Package scheme (M-SIPS), Electronics Development Fund (EDF), and several other. On top of these, the government of India has been trying to encourage local players of the country by increasing custom duties on many electronics products.

The latest example of the same came in the form of Indian government increasing custom duty from zero to 10-20 percent on various components including PCB assemblies, base-station controllers, system modules and cables that are required for manufacturing telecom equipment. There is also an additional 10 percent surcharge applicable on the custom duty.

“Along with these schemes, the government is also engaging in broad-base outsourcing of electronic parts and raw materials along with making available the indigenous counterparts of the Chinese electronic products by promoting domestic manufacturing,” Minister of State for Electronics and IT Sanjay Dhotre said recently.

It is estimated that these schemes, put together, will be able to attract investments of approximately US\$12 billion, and that is without taking into consideration the PLI schemes that are yet to be announced. The total jobs created by these schemes will be to the tune of 1.5 million. And as the ecosystem of electronics develops in the country, the big names will look to collaborate with MSMEs and startups in order to create supply chains for raw materials, components, and finished products.

Looking at these PLI schemes, it looks like the best time to be in the field of electronics in India is now! As minister Dhotre said, “The government has announced the production linked incentive (PLI) schemes for various sectors, including telecom sector, to become a part of the global supply chain.” **EFY**